

Plaintiff argues that the covenant of good faith and fair dealing claim includes allegations that Defendants acted arbitrarily and steered him towards inappropriate roles that frustrated the benefits agreement beyond the breach itself.

The Court finds that as alleged the covenant of good faith and fair dealing claim is superfluous of the breach of contract claim. The claim that Defendants breached their agreement with Plaintiff arbitrarily or in bad faith does not add anything to this claim, which is a contract claim. As the California Supreme Court has explained “To the extent [plaintiff’s] implied covenant cause of action seeks to impose limits on [defendant’s] termination rights *beyond* those to which the parties actually agreed, the claim is invalid. To the extent the implied covenant claim seeks simply to invoke terms to which the parties *did* agree, it is superfluous. [Plaintiff’s] remedy, if any, for [defendant’s] alleged violation of its personnel policies depends on proof that they were contract terms to which the parties actually agreed. The trial court thus properly dismissed the implied covenant cause of action.” (*Guz*, *supra*, 24 Cal.4th 317, 352-353.)

The demurrer to cause of action twelve is sustained with leave to amend.

Uncertainty

Defendants also demurred on uncertainty. Defendants did not address uncertainty in their moving papers. Further, the complaint is not so uncertain that Defendants cannot respond to it. The demurrer for uncertainty is overruled.

12. 9:00 AM CASE NUMBER: C25-02877
CASE NAME: STEPHEN JUROVICH VS. BILL BRANDT FORD, INC.
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: BILL BRANDT FORD, INC.
TENTATIVE RULING:

Before the Court is a petition/motion to compel arbitration, dismiss putative class claims, and stay proceedings filed by defendant Bill Brandt Ford, Inc.. For the reasons set forth, the motion is **granted** on the terms set forth below.

Background

Plaintiff Stephen Jurovich was employed by defendant Bill Brandt Ford, Inc. from February or March 2022 through August 2025. (Brandt Decl. ¶ 2; Jurovich Decl. ¶ 2.) Plaintiff filed a putative class action complaint against Brand Ford on behalf of himself and others similarly situated on October 3, 2025. He alleges six causes of action for various wage and hour violations under the Labor Code and the applicable Industrial Wage Orders and a seventh cause of action for violation of the Unfair Competition Law, Business and Professions Code section 17200, *et seq.* ("UCL"). Defendant seeks to compel Plaintiff to arbitrate his claims pursuant to the Mutual Arbitration Agreement executed by Jurovich dated April 13, 2023 (the "Arbitration Agreement"). (Petn. Exh. A.)

Procedure and Burden of Proof on Motion to Compel Arbitration

The Arbitration Agreement states that it "is governed by the Federal Arbitration Act, 9 U.S.C. § 1, *et seq.*" (the "FAA"). Defendant has also presented evidence that its business as an automotive dealership with repair facilities is involved in interstate commerce, such that the FAA governs on that ground as well. (Brandt Decl. ¶ 4; *Citizens Bank v. Alafabco, Inc.* (2003) 539 U.S. 52, 55-57 [the term "involving commerce" in the FAA is "the functional equivalent of the more familiar term 'affecting commerce'--words of art that ordinarily signal the broadest permissible exercise of Congress' Commerce Clause power. [Citation omitted.], holding the FAA applied to debt restructuring agreements even though the individual transactions in that case may not have actually been in interstate commerce]; *Allied-Bruce Terminix Cos., Inc. v. Dobson* (1995) 513 U.S. 265, 273-274 [broadly construing "involving interstate commerce" to mean "affecting" interstate commerce, and holding the FAA governed an arbitration agreement between a homeowner and local pest control company where the treatment products and repair materials were shipped from out of state].)

Whether the Arbitration Agreement is governed by the FAA or the California Arbitration Act, Code of Civil Procedure section 1280 *et seq.* ("CAA"), the threshold issue of whether a valid and enforceable agreement to arbitrate exists is determined under California law, including whether defenses to enforcement of a contract, such as unconscionability, bar the enforcement of the arbitration agreement, as discussed in more detail below. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413; *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 582.) (See also *McGill v. Citibank, N.A.* (2017) 2 Cal.5th 945, 962 [savings clause of section 2 of the FAA shows intent of FAA is "to make arbitration agreements as enforceable as other contracts, but not more so." [Citation omitted.] Thus, arbitration agreements, '[l]ike other contracts,' 'may be invalidated by 'generally applicable contract defenses, such as fraud, duress, or unconscionability.' [Citation omitted.]"].)

The party moving to compel arbitration "bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.]" (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) (See also *Rosenthal, supra*, 14 Cal.4th at 413.) The Court as the trier of fact weighs the evidence in reaching a final determination regarding the validity and enforceability of the arbitration agreement. (*Engalla, supra*, 15 Cal.4th at 972.) Once the existence of an arbitration agreement is established, the burden is on the party opposing arbitration to prove a defense to its enforcement. (*Rosenthal, supra*, 14 Cal.4th at 413.) If a written arbitration agreement exists, it will be enforced unless there are grounds for its revocation. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125.)

Existence of An Agreement to Arbitrate

There is no dispute regarding the existence of the Arbitration Agreement. Plaintiff admits he signed the Arbitration Agreement, consistent with the Brandt Declaration attesting that he witnessed Plaintiff sign. (Jurovich Decl. ¶ 4; Brandt Decl. ¶ 6.) This evidence shifts the burden to Plaintiff to prove grounds for not enforcing the Arbitration Agreement. Plaintiff contends the Arbitration Agreement is unenforceable under Civil Code section 1670.5 because it is procedurally and substantively unconscionable.

Unconscionability Defense

The burden of proof of unconscionability is on Plaintiff as the party resisting arbitration. (*Rosenthal, supra*, 14 Cal.4th at 413; *Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.) Both procedural and substantive unconscionability must be proven to render a contract unenforceable, based on a sliding scale such that the greater the procedural unconscionability, the lesser the required showing of substantive unconscionability, and vice versa. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal. 4th 83, 114.) (*See also OTO, supra*, 8 Cal.5th at 125.) "Unconscionability is judged 'at the time [the contract is] made.' [Citations omitted.]" (*Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, 322, fn. 2.) (*See also Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 505 ["an unconscionability assessment focuses on circumstances known at the time the agreement was made. [Citations omitted.]"]; Civ. Code § 1670.5(a).)

1. Procedural Unconscionability

Procedural unconscionability involves the components of "oppression" and "surprise." (*OTO, supra*, 8 Cal.5th at 126.) The analysis begins with a determination of whether the agreement is a contract of adhesion, typically a non-negotiable form agreement drafted by the party seeking to compel arbitration. (*OTO, supra*, 8 Cal.5th at 126.) Surprise for purposes of procedural unconscionability arises where an allegedly unconscionable term "is hidden within a prolix printed form." (*Pinnacle, supra*, 55 Cal.4th at 247.)

a. Contract of Adhesion

There is no reasonable dispute that the Arbitration Agreement is a contract of adhesion, a standard form agreement drafted by Defendant as the employer with superior bargaining power and without the employee having a meaningful opportunity to negotiate its terms or refuse to sign it. (*Armendariz, supra*, 24 Cal.4th at 113 [defining contract of adhesion].) Indeed, Defendant confirms that all employees are required to sign an arbitration agreement as a condition of the commencement or continuation of their employment. (Brandt Decl. ¶¶ 5, 6.) The evidence supports that the contract was presented on a take-it-or-leave-it basis. (Brandt Decl. ¶ 6; Jurovich Decl. ¶ 4.) The lack of choice in whether to sign an employment arbitration agreement indicates some degree of oppression and procedural unconscionability. (*Armendariz, supra*, 24 Cal.4th at 115.) (*See also Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 492-493, 494 [contracts of adhesion "remain valid and enforceable unless the resisting party can also show that one or more of the contract's terms is substantively unconscionable or otherwise invalid," and "although adhesion alone generally indicates only a low degree of procedural unconscionability, the potential for overreaching in the employment context warrants close scrutiny of the contract's terms." (Emphasis added.)].)

b. Additional Evidence of Oppression

In *OTO, supra*, the Court lists circumstances relevant to establishing oppression, including " '(1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party's review of the proposed contract was aided by an attorney.' [Citation omitted.]" (*OTO, supra*, 8 Cal.5th at 126-127.) The Court found a high degree of procedural unconscionability in that case based on both oppression and surprise, where the document was

presented to a technician by a "porter," characterized as a low-level employee unlikely to be able to answer questions regarding the document, the text of the document was in extremely small font which was " 'visually impenetrable' " and almost illegible, and the substance of the text was "complex, filled with statutory references and legal jargon," listing statutes not just by their name but by their code citations, including six different sections of the Civil Code and Code of Civil Procedure. (*Id.* at 127-128.)

Plaintiff argues oppression because he did not have a fair opportunity to read and understand the agreement before signing it, to ask questions, or to consult with others regarding its terms. He describes the Office Manager placing "documents" before him for sign with the expectation they would be signed immediately, though he does not identify any documents he was given other than the Arbitration Agreement. (Jurovich Decl. ¶ 4.) Plaintiff declares no one told him he could take as much time as he needed to read the documents or that he could consult with an attorney before signing, nor did anyone explain what an arbitration agreement is. (Jurovich Decl. ¶¶ 4, 5.) He also states that, like the employee in *OTO*, he was not given a copy of the Arbitration Agreement he signed. (*OTO, supra*, 8 Cal.5th at 128; Jurovich Decl. ¶ 7.)

The circumstances Plaintiff describes raise the low level of procedural unconscionability from the mere fact that the agreement is a contract of adhesion, but the circumstances are not comparable to those in *OTO*. The Office Manager who gave him the Arbitration Agreement apparently waited for him to sign, which supports Plaintiff being under some pressure to execute the document. (Jurovich ¶ 4.) The Arbitration Agreement is five pages single-spaced, with a long list of claims covered in Section 1. Though the Arbitration Agreement does not include extensive citations to code sections or extensive use of legal jargon described in *OTO*, the text is fairly dense. Unlike *OTO*, he was given the document by the Office Manager, not a low level employee who was not able to answer questions about the agreement if Plaintiff had asked. The physical characteristics of the document do not compare to those in *OTO*. The title of the document is in all capital letters and bold font, with the headings for the sections summarizing their content in bold font and underscored.

While Plaintiff states no one explained the document to him or told him he could take time to read it or consult an attorney before signing, Plaintiff also does not indicate that he was prevented from reading it, or that he in fact failed to read the agreement before signing. Even if he did not read the document, his failure to read it does not mean he may not be bound. (*Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 249 [stating "But 'simply because a provision within a contract of adhesion is not read or understood by the nondrafting party does not justify a refusal to enforce it. The unbargained-for term may only be denied enforcement if it is also substantively unreasonable.' [Citation omitted.]"].) Plaintiff has shown at most a moderate degree of procedural unconscionability.

2. Substantive Unconscionability

In making the unconscionability determination, "The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement." (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 911-12.) In general, the arbitration agreement must be so overly harsh, unduly oppressive, and unreasonably favorable to the more powerful party that they undermine the neutrality of the agreement to arbitrate in order to be found substantively unconscionable. (*Sanchez, supra*, 61 Cal.4th at 910-911,

913; *Armendariz, supra*, 24 Cal.4th at 117.) Something more than an employee making a bad bargain is required. (*Pinnacle, supra*, 55 Cal.4th at 246 ["A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be 'so one-sided as to 'shock the conscience.'"]). "Substantive unconscionability looks beyond the circumstances of contract formation and considers 'the fairness of an agreement's actual terms' [citation omitted], focusing on whether the contract will create unfair or one-sided results [citation omitted]. Substantively unconscionable contractual clauses 'reallocate risks in an objectively unreasonable or unexpected manner.' [Citations omitted.]" (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 493.)

a. Scope of Covered Claims

Plaintiff argues that the Arbitration Agreement has the same scope, lack of mutuality, and infinite duration as the arbitration agreement that was held to be substantively unconscionable in *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312. Plaintiff misreads the language of Section 1 of the Arbitration Agreement. The first paragraph of Section 1 expressly states the Agreement "applies to any dispute arising out of or related to Employee's . . . application or selection for employment, employment, and/or termination of employment with Bill Brandt Ford, Inc., or one of its affiliates, subsidiaries, or parent companies (the 'Company')." (Petn. Exh. A [Arb. Agmt. Section 1].) The quotation of the language of the second paragraph of Section 1 in the opposition omits the text at the end of Section 1 which is similarly limited. (Opp. p. 6, ll. 1-4.) The second paragraph of Section 1 states that the Arbitration Agreement "is intended to apply to the resolution of disputes that otherwise would be resolved in a court of law or before a forum other than arbitration, including without limitation, disputes arising out of or relating to the application for employment, background checks, privacy, employment relationship, or the termination of that relationship (including post-employment defamation or retaliation) . . . and all other federal or state legal claims (including without limitation torts) arising out of or relating to your application, selection, employment, or the termination of employment." (Petn. Exh. A [Arb. Agmt. Section 1, emphasis added].)

The complete text of Section 1 specifically ties the claims subject to arbitration to Plaintiff's employment, unlike the unbounded claims covered by the arbitration agreement in *Cook*. (*Compare to Cook, supra*, 102 Cal.App.5th at 321-322.) Because the Arbitration Agreement explicitly covers only claims tethered to Plaintiff's employment, the scope is like that in the agreement in *Ayala-Ventura v. Superior Court* (2026) 119 Cal.App.5th 241 which the Court found was not overly broad and was enforceable. (*Id.* at 255-256.)

b. Unlimited Duration

Plaintiff argues the Arbitration Agreement has an infinite duration because it survives the termination of Plaintiff's employment, like the arbitration agreement in *Cook*. (*Cook, supra*, 102 Cal.App.5th at 317, 326.) The agreement in *Cook* is distinguishable from the Arbitration Agreement here. First, the context of the agreement in *Cook* is that it applied to any claims arising in any context that the employee might have against the University of Southern California or any trustees or others associated with the university, a large institution with many facilities, including a medical center, such that there was an expansive range of potential incidents that might be subject to the agreement over a virtually unlimited time frame, as noted by the Court in *Ayala-Ventura*. (*Cook, supra*, 102 Cal.App.5th at 318-319; *Ayala-Ventura, supra*, 119 Cal.App.5th at 257 ["The agreement in *Cook* was

unconscionable in part because of the multifarious ways in which a claim against USC 'completely unrelated to [Cook's] employment' could arise. [Citation omitted.] As an example, the trial court observed that if Cook were to undergo a botched surgery at USC's hospital in 15 years, her claims would still be subject to arbitration. [Citation omitted.]") Second, the agreement in *Cook* could only be terminated or revoked in a written agreement signed by both parties, which the Court held under applicable law, coupled with the unbounded claims, gave the agreement an unlimited duration. (*Id.*) No such termination provision is in the Arbitration Agreement here.

Plaintiff also points to other the language in the "survival" provision: "This Agreement will survive the termination of your employment and the expiration of any benefit, and it will continue to apply upon your transfer to any parent, subsidiary or affiliate of the Company or re-employment by the Company if your employment is ended but later renewed." (Petn. Exh. A [Arb. Agmt. Section 11, emphasis added.) He argues this provision unreasonably and unfairly extends the application of the Arbitration Agreement in terms of the scope of his claims if his employment were to be transferred to an entity related to Brandt Ford, but the provision in that respect reiterates what Plaintiff agreed to in Section 1 of the agreement by the definition of the Company. Plaintiff also argues it expands the duration of the Arbitration Agreement because it extends to any future "re-employment" with the Company. The effect of the provision, however, is to confirm that the parties agree that if Plaintiff is employed by the Company, as defined in the agreement, and if Plaintiff has claims that arise out of or relate to his employment with the Company, either during his current employment or later re-employment, they are to be decided in arbitration. Plaintiff has not cited any authority which has held such a provision to be invalid or unconscionable under California law.

c. Lack of Mutuality of Arbitration Obligation

Relying on *Cook*, Plaintiff also argues that the Arbitration Agreement is unfairly one-sided and non-mutual because it compels Plaintiff to arbitrate claims he may have against not only Brandt Ford, but also that entity's "affiliates, subsidiaries, or parent companies," defined as part of the "Company," and the Company's "officers, directors, principals, shareholders, members, owners, employees, or agents," "benefit plans or the plan's sponsors, fiduciaries, administrators, affiliates, or agents" and their successors and assigns. (Petn. Exh. A [Arb. Agmt. Section 1.] The Arbitration Agreement then expressly allows those individuals and entities to enforce the Agreement, making them intended, third party beneficiaries. (Petn. Exh. A [Arb. Agmt. Section 1.]

Plaintiff argues that the effect of these provisions is to bind Plaintiff to arbitrate his claims against these individuals and entities, without a corresponding arbitration obligation by the individuals and entities, other than Brandt Ford, to arbitrate their claims against him. Based on *Cook*, Plaintiff contends he would be unable to compel those nonsignatory individuals and entities to arbitrate any claims they might make against him, as to do so, he would have to show they accepted a benefit under the Arbitration Agreement, a showing the employee would be unlikely to be able to make. (*Cook, supra*, 102 Cal.App.5th at 328.)

In its reply, Defendant argues that there is a sufficient "modicum" of mutuality as the Arbitration Agreement, like the Arbitration Agreement in *Ayala-Ventura*, requires the employer to arbitrate all of its claims against the Plaintiff. As a result, it is not the case that the stronger party has imposed arbitration on the weaker party without the stronger party being bound to arbitrate its claims against

the employee. (*Ayala-Ventura, supra*, 119 Cal.App.5th at 259 ["We are not convinced the Agreement's purported failure to require CCS's employees and agents to arbitrate their claims against Ayala-Ventura results in a lack of mutuality between the contracting parties. The Agreement is between CCS and Ayala-Ventura; it is not between her and CCS's employees and agents. A lack of mutuality generally consists of the stronger party imposing terms on the weaker party without accepting those terms itself. [Citation omitted.] But this is not a contract where only the weaker party's claims are subject to arbitration. The Agreement 'applies equally to employee and employer initiated claims, carrying the "modicum of bilaterality" required by law.' [Citation omitted.]"].) In light of this conclusion in *Ayala-Ventura* by which the Court is bound, the Court concludes the Arbitration Agreement is not unconscionable for a lack of mutuality because of the provision compelling arbitration of Plaintiff's employment-related claims against employees and agents of the Company.

d. Impermissible Cost Shifting with Rule 68 Offer of Compromise

Plaintiff contends the provision of Section 3 of the Arbitration Agreement allowing a party to make an offer of judgment "in a manner consistent with, and within the time limitations, consequences, and effects provided in Rule 68 of the Federal Rules of Civil Procedure" is also unconscionable. Rule 68(d) of the Federal Rules of Civil Procedure states that "[i]f the judgment that the offeree finally obtains is not more favorable than the unaccepted offer, the offeree must pay the costs incurred after the offer was made."

Rule 68 is the federal analog to Code of Civil Procedure section 998. Plaintiff contends that the fee-shifting provisions of Code of Civil Procedure section 998 have been overridden by the Labor Code provisions which preclude an award of costs to an employer for certain wage and hour claims brought by an employee. (*Chavez v. California Collision, LLC* (2024) 107 Cal.App.5th 298, 301,306-311 [finding that the general provisions of section 998 are overridden by Labor Code sections 1194 and 218.5, stating "where the one-way cost-shifting provisions of Labor Code sections 1194 and 218.5 apply, they serve to override the more general cost shifting [provisions of [Code of Civil Procedure] sections 998 and 1032."].) Plaintiff argues that the Arbitration Agreement's provision applying the consequences of a Rule 68 offer of judgment would violate California public policy and the holding in *Chavez* because Rule 68 may preclude a plaintiff employee from recovering costs even though the Labor Code allows for the employee's cost recovery and because it may impose costs on the employee in violation of the Labor Code.

Neither party has cited any case in which the interplay of Rule 68 with the California Labor Code has been applied in a wage and hour action under the California Labor Code statutes. Plaintiff cites one Ninth Circuit decision under the Federal Labor Standards Act ("FLSA") in which the Ninth Circuit, based on a prior United States Supreme Court decision construing Rule 68 in an action for civil rights violations under 28 U.S.C. section 1983, held that the cost-shifting provisions of the FLSA are overridden by the provisions of Rule 68 and that as to attorneys' fees, "in an FLSA case when a Rule 68 offer of judgment has been rejected, and judgment is obtained for less than the settlement offer, these circumstances must be considered by the district court in determining what fee is reasonable." (*Hawath v. Nevada* (9th Cir. 1995) 56 F.3d 1048, 1052.)

Plaintiff also cites California decisions in which provisions of an arbitration agreement that violate the Labor Code fee-shifting framework in employee actions have been held unconscionable and

invalidated. (See, e.g., *Mills v. Facility Solutions Group, Inc.* (2022) 84 Cal.App.5th 1035, 1056 ["Section 6.b [of the arbitration agreement] is therefore substantively unconscionable because it forces Mills to pay FSG's attorney fees and costs in situations where Mills's claims are found to be 'factually groundless' but not brought in bad faith, contrary to section 218.5, subdivision (a), which would otherwise apply in the trial court, and contrary to the prevailing employee provisions in sections 1194 and 2802."]; *Ajamian v. CantorCO2e, L.P.* (2012) 203 Cal.App.4th 771, 800 [holding "prevailing party" attorney fee award provision in employment agreement enforced in an arbitration agreement unconscionable was violative of Labor Code].) Defendant does not address these decisions and their import for the validity of the Rule 68 provision in the Arbitration Agreement in its reply.

Defendant argues that the Rule 68 provision in the Arbitration Agreement would be overridden by the JAMS employment arbitration rules, specifically Ryle 24(f) which states that "The Award of the Arbitrator may allocate Arbitration fees and Arbitrator compensation and expenses, unless such an allocation is expressly prohibited by the Parties' Agreement or by applicable law." (Reply p. 9, ll. 1-6 [emphasis added].) The "Parties' Agreement" in this case, however, makes an offer of judgment subject to the consequences of Rule 68, so it is not clear that the Arbitration Agreement would not override the JAMS rule cited by Defendant. Indeed, Section 3 of the Arbitration Agreement states that "if there is a conflict between the JAMS Rules and this Agreement, this Agreement shall govern." (Petr. Exh. A [Arb. Agmt. Section 3, emphasis added].) The Court in *Mills* rejected a similar argument. The defendant cited a provision of the arbitration agreement in that case requiring the arbitrator to apply the substantive law and remedies of the jurisdiction where the claim arose, arguing that the provision made the applicable Labor Code fee-shifting controlling, but the Court rejected the argument, still finding that the fee-shifting provision in that agreement was unconscionable. (*Mills*, *supra*, 84 Cal.App.5th at 1057.)

The express incorporation of the "consequences" of a Rule 68 offer of judgment into the provisions governing the arbitration and the potential that an arbitrator could award costs and attorneys' fees against an employee plaintiff in a manner inconsistent with the limitations under the Labor Code and the *Chavez* decision makes the Rule 68 provision substantively unconscionable.

e. Limitation on Plaintiff's Ability to Obtain A Public Injunction

McGill held that an individual could obtain a public injunction if they have suffered an injury in fact and bring a claim under the UCL or False Advertising Law, Business & Professions Code section 17500 *et seq.*, individually. (*McGill*, *supra*, 2 Cal.5th at 958-959.) The Court explained the difference between a private injunctive relief, "i.e., relief that primarily 'resolve[s] a private dispute' between the parties [citation omitted] and 'rectif[ies] individual wrongs' [citation omitted], and that benefits the public, if at all, only incidentally" and public injunctive relief, "i.e., relief that 'by and large' benefits the general public [citation omitted] and that benefits the plaintiff, 'if at all,' only 'incidental[ly]' and/or as 'a member of the general public' [citation omitted]." (*Id.* at 955.) The Court explained that "public injunctive relief under the UCL, the CLRA, and the false advertising law is relief that has 'the primary purpose and effect of' prohibiting unlawful acts that threaten future injury to the general public. [Citation omitted.] Relief that has the primary purpose or effect of redressing or preventing injury to an individual plaintiff—or to a group of individuals similarly situated to the plaintiff—does not constitute public injunctive relief." (*Id.* at 955 [emphasis added].)

The Court held that a provision in a predispute arbitration agreement that waives the right to seek a public injunction "in any forum . . . is contrary to California public policy and is thus unenforceable under California law." (*Id.*) The Court also held this rule is not preempted by the FAA. (*Id.*)

It is not clear that Plaintiff is seeking public injunctive relief in his UCL claim, rather than a private injunction to redress or prevent injury to Plaintiff and "a group of individuals similarly situated" to Plaintiff. (Compl. ¶¶ 77, 78, 83 ["Plaintiff and Class Members are entitled to injunctive relief"; Prayer ¶ 9]; McGill, *supra*, 2 Cal.5th at 955; *Clifford v. Quest Software Inc.* (2019) 38 Cal.App.5th 745, 753.) The Court, however, does not determine the validity or enforceability of an arbitration agreement based on subsequent events arising after its execution, such as the specific causes of action the plaintiff is pursuing. Whether a contract is unconscionable is determined "at the time [the contract] was made." (Civ. Code § 1670.5; *Ramirez, supra*, 16 Cal.5th at 555.)

Plaintiff argues that the Arbitration Agreement contains a waiver of the right to public injunctive relief, because it both precludes Plaintiff from bringing an action as a class or collective action and limits the remedies the arbitrator may grant "to those that would be available to a party in his or her individual capacity." (Petn. Exh. A [Arb. Agmt. Section 5 ["The Arbitrator may award any remedy to which a party is entitled under applicable law, and remedies will be limited to those that would be available to a party in his or her individual capacity for claims presented to the Arbitrator, and no remedies that otherwise would be available to an individual under applicable law will be forfeited."].)

In its reply, Defendant argues that (1) the Arbitration Agreement incorporates the procedures of the CAA, which include Code of Civil Procedure section 1281.8 that allows a party to seek provisional remedies, including preliminary injunctive relief, in Court. Defendant also cites a provision of the JAMS Rules, Rule 24(e), that also allow the arbitrator to "grant whatever interim measures are deemed necessary" and allows a party to seek recourse to the Court for "interim or provisional relief" without being deemed to have waived the right to arbitrate. (Reply p. 9, ll. 20-27.) Section 2 of the Arbitration Agreement only reiterates that a party may seek "temporary or preliminary injunctive relief" in court, but that "[a]ll determinations of final relief, however, will be decided in arbitration." (Petn. Exh. A [Arb. Agmt. Section 2.]

There does not appear to be any prohibition on the arbitrator granting final injunctive relief as a remedy in arbitration (*see O'Hare v. Municipal Resource Consultants* (2003) 107 Cal.App.4th 267, 278), but the Arbitration Agreement limits the arbitrator to granting Plaintiff remedies available only in his individual capacity. A public injunction does not appear to be such a remedy, nor does Defendant argue that Plaintiff can obtain public injunctive relief in the arbitration or that the Arbitration Agreement allows Plaintiff to pursue the remedy of a public injunction in Court, since he is obligated to arbitrate all of his claims individually, with limited exceptions not applicable to claims under the UCL or FAL.

Plaintiff cites *Vaughn v. Tesla, Inc.* (2023) 87 Cal.App.5th 208. The agreement in *Vaughn* provided that "[a]ny claim, dispute, or cause of action must be brought in a party's individual capacity, and not as a plaintiff or class member in any purported class or representative proceeding" and that "[t]he arbitrator shall not have the authority to . . . award relief to a group or class of employees in one arbitration proceeding." (*Id.* at 228.) The Court in *Vaughn* found the defendant had forfeited the argument that injunctive relief to a plaintiff with standing under the UCL is not public injunctive relief,

as it is not a request for relief on behalf of others. (*Id.* at 228.) Further, the defendant at oral argument on appeal did not dispute that the language of the remedies provision in *Vaughn* precluded public injunctive relief, thus bringing the agreement in that case into the *McGill* holding. (*Id.* ["[B]ecause the Arbitration Provision provides for resolution of all covered disputes in arbitration, but prohibits an arbitrator from granting nonindividual relief, the provision does waive Plaintiffs' right to seek a public injunction 'in any forum'" in violation of applicable law.])

Defendant's reply does not address whether the Arbitration Agreement's limitations on the pursuit of class or collective claims (Section 5) combined with the limitation on remedies to those obtainable by Plaintiff in his "individual capacity" (Section 3) preclude Plaintiff from obtaining public injunctive relief in any forum as a final, permanent injunction either in arbitration or in Court in violation of *McGill*. Defendant does not argue that the Arbitration Agreement allows Plaintiff to obtain public injunctive relief on his UCL claim as a final remedy because such a remedy is available to plaintiff "in his individual capacity." (Petn. Exh. A [Arb. Agmt. Section 3].) Defendant's reply does not address the holdings in *McGill* or *Vaughn* and their application to the agreement in this case.

Though the language of the agreements regarding individual relief in the *Vaughn* and *Jack* cases are not the same as the language in the Arbitration Agreement, it is similar. Defendant seems to implicitly concede Plaintiff's interpretation of the agreement and the application of *McGill* and *Vaughn*. This aspect of the agreement is therefore also unconscionable.

3. Unconscionability Conclusion

Plaintiff demonstrated a moderate degree of procedural unconscionability and that two provisions of the Arbitration Agreement are substantively unconscionable under applicable law based on the record before the Court. The Court therefore considers whether the substantively unconscionable provisions can be severed and the severed version of the agreement enforced.

Severability Analysis

The Arbitration Agreement has a severability provision which states: "In the event any portion of this Agreement is deemed unenforceable, the remainder of this Agreement will be enforceable to the maximum extent permitted by law." (Petn. Exh. A [Arb. Agmt. Section 11].) The California Supreme Court has provided substantial guidance for a trial court's decision whether to sever unconscionable or unenforceable provisions of an arbitration agreement.

The Court in *Ramirez* clarified that (a) "no bright-line rule *requires* a court to refuse enforcement if a contract has more than one unconscionable term," (b) a court is not *required* to sever or restrict an unconscionable term if an agreement has only a single such term, (c) "the appropriate inquiry is qualitative" and considers whether the court can cure the unconscionability by "severance or restriction" or whether augmentation or reformation is required, and (d) "[e]ven if a contract *can* be cured," the court should consider "whether the unconscionability *should* be cured through severance or restriction because the interests of justice would be furthered by such actions. [Citations omitted.]" (*Ramirez, supra*, 16 Cal.5th. at 516 [italics in original].) The Court considers whether with respect to the unconscionable provisions, the "illegality is collateral to the contract's main purpose." (*Id.* at 517.)

The Court also considers "the deterrent effect of each option," and the Court should not enforce the

arbitration agreement if severance and enforcement "would function to condone an illegal scheme and whether defects in the agreement indicate the stronger party engaged in a systematic effort to impose arbitration on the weaker party not simply as an alternative to litigation, but to secure a forum that works to the stronger party's advantage. [Citation omitted.]" (*Id.* at 516-517.) "Severance may be properly denied when the agreement contains more than one unconscionable provision, and ' "there is no single provision a court can strike or restrict in order to remove the unconscionable taint from the agreement." [Citation.]' [Citations omitted.]" (*Cook, supra*, 102 Cal.App.5th at 329.)

The Court has found two provisions of the Arbitration Agreement to be unconscionable, specifically the provision regarding offers of judgment under Rule 68 of the Federal Rules of Civil Procedure and the provision limiting the relief available to remedies in a party's "individual capacity." The Court finds severance of the unconscionable terms is appropriate in this case because the unconscionability does not permeate the Arbitration Agreement; the two unconscionable provisions do not go to the heart of the agreement to arbitrate but relate to what could be characterized as collateral issues. Severance of the unconscionable terms can also be effectuated to extirpate the unconscionable aspects of the agreement without reforming the language of the agreement. (*Ramirez, supra*, 16 Cal.5th at 516-517.) The Court will enforce the Arbitration Agreement subject to severance of the two unconscionable provisions and grant the motion to compel the claims to arbitration as set forth below.

Class Action Waiver

The petition/motion asks the Court to dismiss Plaintiff's class claims. The arbitration agreement includes a waiver of the parties' right to bring class claims. (Petn. Exh. A [Arb. Agmt. Section 5].) Plaintiff does not contest the existence of the waiver or its enforceability. (*AT&T Mobility LLC v. Concepcion* (2010) 563 U.S. 333, 352 [FAA preempts California law on enforceability of waiver of class claims in arbitration agreement]; *Stolt-Nielsen S.A. v. AnimalFeeds International Corp.* (2010) 559 U.S. 662, 687 [right to arbitration of class claims cannot be inferred from arbitration agreement because class action arbitration changes the bilateral nature of arbitration]; *Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 378, 388-389 [based on *Concepcion*, FAA preempts and makes enforceable a waiver of class claims in an employment arbitration agreement, but not a waiver of PAGA claims].)

Request to Stay the Action

Moving Parties ask the Court to stay the action pending completion of the arbitration pursuant to Code of Civil Procedure section 1281.4. " 'The purpose of the statutory stay is to protect the jurisdiction of the arbitrator by preserving the status quo until arbitration is resolved.' [Citation omitted.] 'In the absence of a stay, the continuation of the proceedings in the trial court disrupts the arbitration proceedings and can render them ineffective.' [Citation omitted.]" (*Heritage Provider Network, Inc. v. Superior Court* (2008) 158 Cal.App.4th 1146, 1152.) The Court finds staying the action pending the arbitration is appropriate.

Conclusion and Final Ruling

The Court will enforce the Arbitration Agreement subject to severance of the unconscionable provisions of the Arbitration Agreement. The Court severs and strikes (1) the clause in the first

sentence of the last paragraph of Section 3 of the Arbitration Agreement (beginning with "and remedies will be limited" until "claims presented to the Arbitrator"), and (2) the last sentence of Section 3 of the Arbitration Agreement (beginning with "A party may make an offer" and ending with "Rule 68 of the Federal Rules of Civil Procedure"). With those provisions stricken, the Court will grant the petition/motion to compel Plaintiff's claims to arbitration on an individual basis. The putative class claims will be dismissed, and the action shall be stayed pending completion of the arbitration, except that the Court will schedule periodic case management conferences to determine the status of the arbitration from time to time. Given the Court's ruling, the case management conference presently scheduled for 8:30 a.m. on August 5, 2026, is hereby vacated and will be reset to January 13, 2027.

13. 9:00 AM CASE NUMBER: C26-00997
CASE NAME: STERLING SMITH VS. THOMAS BROS EQUIPMENT RENTAL
***HEARING ON MOTION IN RE: SET ASIDE ENTRY OF DEFAULT AGAINST NETWORK ADJUSTERS, INC.**
FILED BY: NETWORK ADJUSTERS INC.
TENTATIVE RULING:

Defendant Network Adjusters, Inc.'s motion to set aside default and request for sanctions is **granted in part and denied in part**, as set forth below.

Background

This action arises from a vehicular collision and Plaintiff's subsequent dispute over the handling of the related insurance claim. Plaintiff Sterling B. Smith, appearing in propria persona, filed the Complaint on March 24, 2026, against Thomas Bros Equipment Rental, Accelerant Specialty Insurance, and Network Adjusters, Inc., alleging breach of contract and negligence. On May 4, 2026, Plaintiff filed a request for entry of default against Network Adjusters, which was entered that same day and then set aside as prematurely entered. Plaintiff filed a second request for entry of default against Network Adjusters on May 7, 2026, which the clerk entered.

The proof of service on file states that the process server, F. Conley of the Sheriff's Civil Bureau, personally served the party identified in item 3(a) as Network Adjusters Inc. by delivering copies of the complaint and other service documents on April 2, 2026, at 12:41 p.m. In item 3(b), the proof of service identifies the person actually served, not as the party itself, but as a person served "on behalf of an entity or as an authorized agent," and names that person as "Rebecca Vang /Authorized Agent." The address where the party was served is listed as Lawyers Incorporating Service ("LIS"), 2710 Gateway Oaks Drive, Suite 150N, Sacramento, CA 95833. Thus, the sufficiency of service depends entirely on whether Rebecca Vang, at Lawyers Incorporating System, was authorized to accept service on Defendant's behalf.

Analysis

Defendant states that its agent for service of process is Cogency Global, Inc., which has held that role